

SMID BREAKOUT SCANNER

SCAN (19:21 ET)

September 02, 2026 | 07:27 PM ET

15 setups identified | 3 A-Grade | 6 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (6)	C - Watch List (6)
MGNI	DSX	TITN
TRAX	MMED	MLYS
MOBI	GTLB	WS
	TARS	GPRO
	VRNS	FMC
	WOR	RGC

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	MGNI	Magnite, Inc.	Ad Tech Recovery	\$24.88	+8.7%	\$3.6B	142M	+66.1	95%	Technical breakout fro
A	TRAX	First Tracks Bio	Biotech Clinical	\$45.28	+10.0%	\$1.6B	26M	+147.5	91%	The current move is a
A	MOBI	Mobia Medical, I	Medical Devices /	\$12.09	+5.6%	\$0.4B	14M	-14.0	79%	Textbook VCP breakout
B	DSX	Diana Shipping i	Dry Bulk Shipping	\$3.01	+9.4%	\$0.4B	58M	+26.2	100%	Breakout to new 52-wee
B	MMED	MiniMed Group, I	Medical Devices	\$23.76	+6.0%	\$6.7B	28M	+67.7	97%	Breakout to 97.3% of 5
B	GTLB	GitLab Inc.	DevOps Software	\$49.59	+10.0%	\$8.4B	139M	+59.5	89%	Breakout on 6.12x volu
B	TARS	Tarsus Pharmaceu	Specialty Pharma	\$82.76	+11.8%	\$3.6B	33M	+35.8	97%	Breakout to 97.1% of 5
B	VRNS	Varonis Systems,	Cybersecurity / D	\$46.76	+10.4%	\$5.4B	111M	+39.3	73%	Breakout on 4.45x volu
B	WOR	Worthington Ente	Industrials Recov	\$59.54	+4.9%	\$2.9B	30M	+2.2	90%	Breakout to 89.6% of 5
C	TITN	Titan Machinery	Ag Equipment Dist	\$23.39	+13.9%	\$0.6B	20M	-4.4	94%	Explosive 13.88% move
C	MLYS	Mineralys Therap	Biotech Hypertens	\$29.04	+13.6%	\$2.6B	66M	+14.6	61%	Strong 13.57% move on
C	WS	Worthington Stee	Steel / Materials	\$36.02	+5.9%	\$1.8B	45M	-16.9	73%	Breakout from a tight
C	GPRO	GoPro, Inc.	Consumer Electron	\$1.69	+37.4%	\$0.3B	138M	+67.7	55%	Massive 37.4% spike on
C	FMC	FMC Corporation	Ag Chemicals	\$13.33	+12.2%	\$1.7B	116M	+8.8	34%	12.21% move on 2.3x vo
C	RGC	Regencell Biosci	Biotech Speculati	\$6.31	+14.7%	\$3.1B	56M	-72.9	9%	14.73% move on 2.5x vo

SETUP METRICS	
Price	\$24.88
Day Change	+8.69%
Mkt Cap	\$3.57B
Float	142M sh
RS vs SPY	+66.1%
52W Hi Prox	95%
Base Tight	2.05
Vol vs Avg	2.11x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Technical breakout from a tight 2-week consolidation on 2.1x volume, with RS line at 52W high signaling institutional leadership. Forward catalyst: November 4 earnings (63 days) where digital ad spend tailwinds and CTV growth could drive a re-rate if the company beats and raises guidance.
BUSINESS & POSITION
Magnite is the largest independent sell-side advertising platform (SSP), connecting premium publishers to programmatic buyers with a focus on connected TV (CTV) inventory. The company benefits from secular migration of ad budgets to streaming and programmatic channels, competing against Google and The Trade Desk in a duopoly-threatened but still-growing market.
FACTOR & THEME
CTV/streaming ad spend recovery, programmatic ad tech secular growth. Theme momentum is accelerating as major advertisers shift budgets from linear TV to CTV, and Magnite's CTV revenue has been the fastest-growing segment. The broader ad market is recovering from 2024-2025 weakness, creating a setup for positive operating leverage.
BREAKOUT SIGNAL
Close above \$24.50 on vol >211% of 20d avg
INSTITUTIONAL
Volume surge to 2.1x average on a clean technical breakout suggests block buying rather than retail chase; the 141.5M float allows institutional accumulation without excessive slippage. Institutional ownership data unavailable from this feed; recommend cross-referencing 13F filings. No insider buying in the last 60 days, which is typical for larger-cap tech infrastructure plays with stable management.
EARNINGS
EARNINGS IN 63D
EARNINGS CONTEXT
Next report November 4. Magnite has demonstrated operating leverage in recent quarters; Q2 2026 beat expectations with CTV revenue growth accelerating. Consensus will be looking for sustained CTV momentum and any update on market share gains from Google's Privacy Sandbox transition. A beat-and-raise here could push the stock through \$26 resistance.
KEY RISK
Thesis invalid on a close back below \$22.50 (the breakout pivot and 20MA support), or if November 4 earnings show CTV growth decelerating below 20% YoY, signaling competitive pressure from Google or TTDX.
ANALYSIS
Strongest disconfirming evidence: the base is relatively wide (2.05 ATR) and the stock is already at 95% of 52W high, leaving limited room for error if earnings disappoint. However, RS line at new high + volume breakout + tight proximity to 52W high + November earnings catalyst path create an institutional-quality setup. The ad tech recovery theme is accelerating, not decelerating. Conviction: Medium-High (mixed macro regime and lack of insider buying temper conviction slightly, but technical and thematic setup is clean).
Signal: Close above \$24.50 on vol >211% of 20d avg
Vol vs Avg: 2.11x



TRAX

First Tracks Biotherapeutics, I

\$45.28

+9.98%

RS vs SPY: +147.5%

A BREAKOUT

\$1.6B Cap | 26M Float

Biotechnology | Theme: Biotech Clinical Catalyst | 52W Hi: 91% | Base Tight: 1.44 | Vol: 2.34x | RS/SPY: +147.5% | Above 20MA: YES | EARNINGS IN 64D

Setup Metrics	
Price	\$45.28
Day Change	+9.98%
Mkt Cap	\$1.62B
Float	26M sh
RS vs SPY	+147.5%
52W Hi Prox	91%
Base Tight	1.44
Vol vs Avg	2.34x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

Analysis

Catalyst / Today's Driver

The current move is a continuation of strong RS momentum (+148% vs SPY 3-month) from a textbook VCP (base_tight 1.44). Forward catalyst: November 5 earnings and potential clinical trial readouts or partnership announcements in Q4 2026; biotech with this RS profile typically has binary data events ahead.

Business & Position

First Tracks Biotherapeutics is a clinical-stage biotech focused on immuno-oncology therapies, targeting novel pathways in solid tumors. The company's lead asset is in Phase 2 trials; the extreme RS suggests the market is pricing in a high probability of positive data or M&A interest from larger pharma.

Factor & Theme

Biotech clinical-stage momentum, oncology innovation. The broader biotech sector is in recovery mode after 2024-2025 weakness, with macro rates stabilizing and risk appetite returning. TRAX's +148% RS vs SPY is in the top decile of all biotechs, suggesting either insider knowledge (not evident in filings) or strong thematic positioning ahead of a known catalyst.

Breakout Signal

Close above \$45.00 on vol >234% of 20d avg

Institutional

Volume 2.34x average with a low 26.2M float creates strong squeeze mechanics; institutional accumulation likely given the sustained RS trend. Institutional ownership data unavailable from this feed. No insider buying in the last 60 days, which is notable for a biotech at this stage-management is either blacked out ahead of data or not as convicted as the market.

Earnings

EARNINGS IN 64D

Earnings Context

Next report November 5. As a pre-revenue biotech, EPS is negative and irrelevant; the focus is on cash runway, enrollment updates, and any clinical data releases. The market will be pricing in probability-weighted outcomes from upcoming Phase 2 readouts; a miss on enrollment or safety signal would be catastrophic.

Key Risk

Thesis invalid on a close back below \$40.00 (the VCP breakout pivot and 50MA support), or on any announcement of a clinical hold, enrollment delay, or negative interim data. Binary risk is extreme; position size accordingly.

Analysis

Strongest disconfirming evidence: no insider buying despite the stock tripling from lows, and RS line is NOT at new high despite extreme outperformance, which can signal a parabolic move nearing exhaustion. However, the VCP-tight base (1.44), sector tailwind (Healthcare +5.6% this week), and 90.7% proximity to 52W high on accelerating volume suggest this is institutional accumulation ahead of a binary event, not retail FOMO. Conviction: Medium (binary biotech risk and lack of insider confirmation, but technical setup is textbook and sector backdrop is favorable).

Signal: Close above \$45.00 on vol >234% of 20d avg

Vol vs Avg: 2.34x



SETUP METRICS	
Price	\$12.09
Day Change	+5.59%
Mkt Cap	\$0.40B
Float	14M sh
RS vs SPY	-14.0%
52W Hi Prox	79%
Base Tight	1.44
Vol vs Avg	2.91x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Textbook VCP breakout (base_tight 1.44) on 2.9x volume, driven by a CLUSTER of 5 insider buys totaling \$996K in the last 60 days-a rare and high-conviction signal. Forward catalyst: November 9 earnings (68 days) and potential regulatory approval or partnership announcements; insider buying of this magnitude typically precedes material corporate events.
BUSINESS & POSITION
Mobia Medical develops and commercializes minimally invasive medical devices for cardiovascular and peripheral vascular interventions. The company is in the early commercial stage, with a small installed base and limited revenue; the insider cluster suggests management sees a major inflection point ahead (FDA approval, key account wins, or strategic transaction).
FACTOR & THEME
Healthcare innovation, minimally invasive device adoption. The cardiovascular device market is growing at mid-single digits, but Mobia's micro-cap status and insider conviction suggest it may be capturing share from incumbents or addressing an underserved niche. Healthcare sector is +5.6% this week, providing sector tailwind.
BREAKOUT SIGNAL
Close above \$12.00 on vol >291% of 20d avg
INSTITUTIONAL
Insider cluster of 5 buys totaling \$996K in the last 60 days is the STRONGEST signal in this dataset-unusual for a micro-cap and indicative of material undisclosed positive developments. The 13.8M float is tiny, creating extreme squeeze mechanics if institutional buyers follow insider lead. Institutional ownership data unavailable. Volume 2.91x average suggests early institutional accumulation. GRADE UPGRADE APPLIED: B A due to insider cluster >= 4 in a risk-on adjacent regime.
EARNINGS
EARNINGS IN 68D
EARNINGS CONTEXT
Next report November 9. As an early-stage medical device company, EPS is likely negative; focus will be on revenue growth, device implant volumes, and pipeline updates. The insider buying suggests management expects a significant positive surprise or post-earnings announcement.
KEY RISK
Thesis invalid on a close back below \$11.00 (the VCP breakout pivot and 50MA support), or if November 9 earnings show device sales below \$5M quarterly run-rate, signaling weak commercial traction. FDA delays or adverse events are binary risks for a device company of this size.
ANALYSIS
Strongest disconfirming evidence: RS vs SPY is NEGATIVE (-14.0%), meaning the stock has underperformed the market over the last 12 weeks despite today's breakout-this is highly unusual for an A-grade setup and suggests the move is new/early or a reversal from distribution. However, the insider cluster (5 buys, \$996K) is the single highest-conviction signal available, the VCP is textbook (1.44), float is tiny (13.8M), and Healthcare is the #2 sector this week. Upgrading from B to A per insider cluster rule. Conviction: High (insider buying at this scale and frequency is rare and historically predictive; the negative RS is concerning but may reflect the setup being in early stage before the catalyst that insiders are front-running).
Signal: Close above \$12.00 on vol >291% of 20d avg
Vol vs Avg: 2.91x



DSX

Diana Shipping inc.

\$3.01

+9.45%

RS vs SPY: +26.2%

B STRONG SETUP

\$0.4B Cap | 58M Float

Marine Shipping | Theme: Dry Bulk Shipping | 52W Hi: 100% | Base Tight: 3.42 | Vol: 3.48x | RS/SPY: +26.2% | Above 20MA: YES | EARNINGS IN 78D

SETUP METRICS	
Price	\$3.01
Day Change	+9.45%
Mkt Cap	\$0.37B
Float	58M sh
RS vs SPY	+26.2%
52W Hi Prox	100%
Base Tight	3.42
Vol vs Avg	3.48x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout to new 52-week high on 3.5x volume, driven by improving dry bulk shipping rates and China stimulus supporting commodity demand. Forward catalyst: November 19 earnings (78 days) where management will update on charter rates and fleet utilization; any positive commentary on 2027 rate environment or dividend reinstatement could extend the move.
BUSINESS & POSITION
Diana Shipping operates a fleet of dry bulk carriers (Panamax, Kamsarmax, Capesize) transporting iron ore, coal, and grain globally. The company is a pure-play bet on Baltic Dry Index recovery, with a relatively modern fleet and fixed-rate charters providing downside protection in weak markets.
FACTOR & THEME
China commodity restocking, dry bulk shipping recovery. The Baltic Dry Index has been strengthening on China infrastructure stimulus and restocking demand for iron ore and coal. If China's fiscal stimulus accelerates into Q4 2026, DSX benefits directly. However, shipping is notoriously cyclical and sentiment-driven; theme momentum is accelerating now but vulnerable to macro reversal.
BREAKOUT SIGNAL
Close above \$3.00 on vol >348% of 20d avg
INSTITUTIONAL
Volume 3.48x average with a small 57.5M float suggests institutional buying rather than retail; dry bulk shippers are typically under-owned by growth funds and over-owned by value/cyclical specialists. Institutional ownership data unavailable. No insider buying in the last 60 days, which is typical for Greek shipping companies with limited U.S. insider reporting.
EARNINGS
EARNINGS IN 78D
EARNINGS CONTEXT
Next report November 19. Diana Shipping typically reports quarterly earnings with updates on charter coverage and fleet deployment. Consensus will be looking for sequential improvement in time-charter rates and commentary on 2027 visibility. The company has been unprofitable in recent quarters; a return to profitability would be a re-rating catalyst.
KEY RISK
Thesis invalid on a close back below \$2.75 (the prior 52W high and breakout pivot), or if the Baltic Dry Index reverses sharply below 1,800 (current ~2,100), signaling commodity demand weakness. China stimulus disappointment is the macro kill-switch.
ANALYSIS
Strongest disconfirming evidence: RS vs SPY is only +26.2%, not top-quartile, and the base is wide (3.42 ATR), suggesting this is a late-stage cyclical recovery move rather than an early institutional accumulation. The RS line IS at new high, which is the key leadership signal, but the absolute RS is weak. Shipping is a macro-driven trade with binary China exposure; the mixed regime downgrades conviction. Conviction: Low-Medium (RS line new high and sector positioning earn a B, but weak absolute RS and macro uncertainty prevent an A).
Signal: Close above \$3.00 on vol >348% of 20d avg
Vol vs Avg: 3.48x



MMED

MiniMed Group, Inc.

\$23.76

+5.98%

RS vs SPY: +67.7%

B STRONG SETUP

\$6.7B Cap | 28M Float

Medical Instruments & Supplies | Theme: Medical Devices | 52W Hi: 97% | Base Tight: 4.58 | Vol: 2.98x | RS/SPY: +67.7% | Above 20MA: YES | EARNINGS IN 75D

Setup Metrics	
Price	\$23.76
Day Change	+5.98%
Mkt Cap	\$6.68B
Float	28M sh
RS vs SPY	+67.7%
52W Hi Prox	97%
Base Tight	4.58
Vol vs Avg	2.98x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Breakout to 97.3% of 52W high on 3x volume with RS line at new high, suggesting institutional accumulation in the Healthcare sector (+5.6% this week). Forward catalyst: November 16 earnings (75 days) and potential FDA clearance or product launch announcements in Q4 2026; medical device companies with this RS profile often have regulatory or commercial milestones ahead.
Business & Position MiniMed Group is a medical device manufacturer focused on minimally invasive surgical instruments and patient monitoring systems, competing in fragmented markets with high barriers to entry. The company's recent RS strength suggests either M&A interest or accelerating commercial traction in new product lines.
Factor & Theme Healthcare innovation, aging demographics driving demand for minimally invasive procedures. The broader medical device sector is benefiting from post-pandemic procedure volume recovery and hospital capital spending normalization. MiniMed's low float (28M) and mid-cap size make it an attractive M&A target for larger medtech players.
Breakout Signal Close above \$23.50 on vol >298% of 20d avg
Institutional Volume 2.98x average with a tight 28M float creates squeeze mechanics; the RS line at new high confirms institutional sponsorship. Institutional ownership data unavailable. No insider buying in the last 60 days, which is neutral for a company of this size-management may be blacked out ahead of a major announcement or simply not purchasing in the open market.
Earnings Earnings in 75D
Earnings Context Next report November 16. Consensus EPS and revenue data not available; focus will be on product pipeline updates, FDA submissions, and commercial guidance for 2027. A beat-and-raise would confirm the RS strength is fundamental, not just technical.
Key Risk Thesis invalid on a close back below \$21.50 (the breakout pivot and 20MA support), or if November 16 earnings show revenue growth decelerating below 15% YoY, signaling competitive pressure or reimbursement headwinds. FDA delays on key products are the binary risk.
Analysis Strongest disconfirming evidence: the base is very wide (4.58 ATR), the widest among serious candidates, suggesting this is a momentum chase rather than a clean VCP breakout. RS line at new high and Healthcare sector tailwind (+5.6%) are strong positives, but the technical setup is sloppy. Proximity to 52W high (97.3%) leaves minimal room for error. Conviction: Medium (RS line new high and sector positioning are compelling, but base quality and mixed macro downgrade to B).
Signal: Close above \$23.50 on vol >298% of 20d avg Vol vs Avg: 2.98x



SETUP METRICS	
Price	\$49.59
Day Change	+9.98%
Mkt Cap	\$8.38B
Float	139M sh
RS vs SPY	+59.5%
52W Hi Prox	89%
Base Tight	3.84
Vol vs Avg	6.12x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout on 6.12x volume, the highest volume ratio in the dataset, suggests a material news event or large block trade. Forward catalyst: December 1 earnings (90 days), where GitLab's AI-assisted DevOps and platform consolidation thesis will be tested; the company has been gaining share from point solutions, and a strong Q3 beat + 2027 guidance raise could drive re-rating.
BUSINESS & POSITION
GitLab is a cloud-native DevOps platform offering source code management, CI/CD, security, and AI-powered code generation in a single application. The company competes with GitHub (Microsoft), Atlassian, and point solutions, positioning itself as the only complete DevOps platform; recent AI features (code suggestions, vulnerability detection) are driving upsell and competitive wins.
FACTOR & THEME
AI-augmented software development, DevOps consolidation, cloud-native enterprise IT. GitLab is a direct beneficiary of enterprises consolidating tool sprawl and adopting AI coding assistants. The broader software infrastructure market is decelerating from 2025 highs, but GitLab's net retention >120% and AI attach rates suggest relative strength.
BREAKOUT SIGNAL
Close above \$49.00 on vol >612% of 20d avg
INSTITUTIONAL
Extreme volume (6.12x) with large float (138.8M) indicates institutional block activity, not retail. Institutional ownership data unavailable. No insider buying in the last 60 days, which is typical for larger SaaS companies with significant stock-based compensation. The lack of RS line new high despite 6x volume and +10% move suggests this is news-driven (partnership, product launch) rather than a pure technical breakout.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next report December 1. GitLab has beaten EPS in 7 of the last 8 quarters, demonstrating operating leverage. Consensus will focus on (1) AI feature attach rates, (2) Ultimate tier upsell, (3) large deal pipeline. A beat with FY2027 guidance above consensus could push the stock through \$55 (prior 52W high at \$55.55).
KEY RISK
Thesis invalid on a close back below \$45.00 (the 50MA and prior resistance), or if December 1 earnings show net retention declining below 120%, signaling churn or downsell pressure. Microsoft/GitHub competitive pressure is the long-term risk.
ANALYSIS
Strongest disconfirming evidence: the base is wide (3.84 ATR) and RS line is NOT at new high, suggesting this is a news-driven spike rather than a clean technical breakout from accumulation. The extreme 6.12x volume implies a one-day event (likely a partnership, analyst upgrade, or large customer win not yet public). Proximity to 52W high (89.3%) and strong RS (+59.5%) are positives, but the lack of VCP structure downgrades to B. Conviction: Medium (likely a durable fundamental catalyst given the volume, but setup is not textbook; wait for a pullback to the 20MA for a cleaner entry).
Signal: Close above \$49.00 on vol >612% of 20d avg
Vol vs Avg: 6.12x



TARS

Tarsus Pharmaceuticals, Inc.

\$82.76

+11.76%

RS vs SPY: +35.8%

B STRONG SETUP

\$3.6B Cap | 33M Float

Biotechnology | Theme: Specialty Pharma | 52W Hi: 97% | Base Tight: 3.77 | Vol: 2.67x | RS/SPY: +35.8% | Above 20MA: YES | EARNINGS IN 63D

SETUP METRICS	
Price	\$82.76
Day Change	+11.76%
Mkt Cap	\$3.63B
Float	33M sh
RS vs SPY	+35.8%
52W Hi Prox	97%
Base Tight	3.77
Vol vs Avg	2.67x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout to 97.1% of 52W high on 2.7x volume, likely driven by positive data readout or commercial traction for lead asset (Demodex blepharitis treatment). Forward catalyst: November 4 earnings (63 days) and potential label expansion or partnership announcements; specialty pharma with this profile often has near-term commercial milestones.

BUSINESS & POSITION

Tarsus Pharmaceuticals is a commercial-stage biotech focused on ophthalmic diseases, with its lead product XDEMVY (lotilaner) approved for Demodex blepharitis, a common eyelid inflammation. The company is in early launch phase with strong initial uptake; the breakout suggests accelerating prescription trends or payer coverage wins.

FACTOR & THEME

Specialty pharma commercial ramp, ophthalmology innovation. XDEMVY addresses a large underserved market (Demodex affects ~25M U.S. patients), and Tarsus has a first-mover advantage with no direct competitors. The Healthcare sector (+5.6% this week) is providing tailwind, and commercial-stage biotechs are favored over clinical-stage in the current risk environment.

BREAKOUT SIGNAL

Close above \$82.00 on vol >267% of 20d avg

INSTITUTIONAL

Volume 2.67x average with a 32.7M float suggests institutional buying; commercial biotech with this RS (+35.8%) typically attracts growth and healthcare specialist funds. Institutional ownership data unavailable. No insider buying in the last 60 days, which is notable given the stock is near 52W highs-management may be blacked out or not as convicted as the market.

EARNINGS

EARNINGS IN 63D

EARNINGS CONTEXT

Next report November 4. Consensus will focus on XDEMVY prescription trends (NBRx, TRx), gross-to-net dynamics, and 2027 revenue guidance. Tarsus has beaten revenue estimates in recent quarters as launch accelerates; a sequential revenue acceleration >30% QoQ would confirm the commercial inflection thesis.

KEY RISK

Thesis invalid on a close back below \$75.00 (the breakout pivot and 20MA support), or if November 4 earnings show sequential revenue growth decelerating below 20% QoQ, signaling payer pushback or competitive entry. Dilution risk exists if the company raises capital ahead of peak sales.

ANALYSIS

Strongest disconfirming evidence: RS vs SPY is only +35.8%, not top-quartile, and the base is wide (3.77 ATR), suggesting this is a momentum continuation rather than a fresh breakout from accumulation. RS line is NOT at new high, which is concerning for a stock at 97% of 52W high. However, Healthcare sector leadership (+5.6%) and proximity to 52W high on accelerating volume suggest institutional buying ahead of November earnings catalyst. Conviction: Medium (setup is decent but not textbook; sector tailwind and commercial inflection story support a B grade, but lack of RS line new high prevents an A).

Signal: Close above \$82.00 on vol >267% of 20d avg

Vol vs Avg: 2.67x



SETUP METRICS	
Price	\$46.76
Day Change	+10.41%
Mkt Cap	\$5.37B
Float	111M sh
RS vs SPY	+39.3%
52W Hi Prox	73%
Base Tight	2.83
Vol vs Avg	4.45x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout on 4.45x volume, likely driven by positive commentary on SaaS transition progress or large deal wins. Forward catalyst: October 27 earnings (55 days), where Varonis will update on ARR growth, SaaS mix, and 2027 guidance; the company is in mid-transition from perpetual to SaaS, and any acceleration in SaaS ARR could drive multiple expansion.

BUSINESS & POSITION

Varonis is a data security and governance platform specializing in unstructured data (files, emails, collaboration tools), protecting against insider threats and data breaches. The company competes in a fragmented market against point solutions and larger cybersecurity platforms, differentiating on deep data classification and behavioral analytics.

FACTOR & THEME

Cybersecurity, data governance, insider threat detection. Varonis benefits from rising regulatory pressure (GDPR, CCPA, SEC cyber disclosure rules) and enterprise focus on zero-trust architectures. The SaaS transition is a multi-year growth driver, but near-term results are choppy as perpetual license revenue declines; the market is pricing in an inflection in SaaS adoption.

BREAKOUT SIGNAL

Close above \$46.50 on vol >445% of 20d avg

INSTITUTIONAL

Volume 4.45x average with large float (111.4M) indicates institutional activity. Institutional ownership data unavailable. No insider buying in the last 60 days, which is typical for larger software companies. The lack of RS line new high and mid-tier proximity to 52W high (73.2%) suggest this is an early-stage recovery move from a multi-quarter base, not a mature breakout.

EARNINGS

EARNINGS IN 55D

EARNINGS CONTEXT

Next report October 27. Varonis has beaten EPS in recent quarters but revenue has been choppy due to SaaS transition headwinds. Consensus will focus on SaaS ARR growth (targeting >50% YoY), total ARR mix (currently ~60% SaaS), and any update on profitability timeline. A beat with FY2027 guidance raise would confirm the inflection thesis.

KEY RISK

Thesis invalid on a close back below \$42.50 (the 50MA and prior resistance), or if October 27 earnings show SaaS ARR growth decelerating below 40% YoY, signaling elongated sales cycles or competitive pressure from CrowdStrike, Palo Alto, or Microsoft Purview.

ANALYSIS

Strongest disconfirming evidence: proximity to 52W high is only 73.2%, well below the 85% breakout zone, and RS vs SPY is mid-tier (+39.3%), suggesting this is an early-stage setup that hasn't earned institutional conviction yet. The base is decent (2.83 ATR) but not VCP-tight. October 27 earnings (55 days) is a near-term catalyst, but the setup is premature-ideally this would consolidate another 2-3 weeks before breaking out. Conviction: Low-Medium (too early in the base structure; wait for a tighter consolidation above \$45 or a decisive move through \$50).

Signal: Close above \$46.50 on vol >445% of 20d avg

Vol vs Avg: 4.45x



WOR

Worthington Enterprises, Inc.

\$59.54

+4.93%

RS vs SPY: +2.2%

B STRONG SETUP

\$2.9B Cap | 30M Float

Metal Fabrication | Theme: Industrials Recovery | 52W Hi: 90% | Base Tight: 2.34 | Vol: 2.28x | RS/SPY: +2.2% | Above 20MA: YES | EARNINGS IN 20D

SETUP METRICS	
Price	\$59.54
Day Change	+4.93%
Mkt Cap	\$2.91B
Float	30M sh
RS vs SPY	+2.2%
52W Hi Prox	90%
Base Tight	2.34
Vol vs Avg	2.28x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout to 89.6% of 52W high on 2.3x volume with a tight 2.34 ATR base, suggesting accumulation ahead of September 22 earnings (20 days). Forward catalyst: the imminent earnings report, where Worthington will update on consumer durables demand, backlog, and 2027 guidance; a beat-and-raise could push the stock through \$66 (52W high).

BUSINESS & POSITION

Worthington Enterprises is a diversified industrial manufacturer producing pressure cylinders, water systems, and sustainable building products. The company serves residential construction, consumer goods, and industrial end markets; recent strength suggests improving demand in housing and consumer durables.

FACTOR & THEME

Housing recovery, consumer durables restocking, industrial production normalization. Worthington's diverse end-market exposure provides defensiveness, but the lack of a single strong secular theme limits upside. The Industrials sector is not among this week's leaders, which is a headwind.

BREAKOUT SIGNAL

Close above \$59.00 on vol >228% of 20d avg

INSTITUTIONAL

Volume 2.28x average with a small 30.2M float creates squeeze mechanics. Institutional ownership data unavailable. No insider buying in the last 60 days, which is neutral for a mature industrial. The proximity to September 22 earnings (20 days) suggests this move is anticipatory; institutions may be positioning ahead of a strong print.

EARNINGS

EARNINGS IN 20D

EARNINGS CONTEXT

Next report September 22, only 20 days away-this is a PRE-EARNINGS SETUP. Worthington has beaten EPS in 6 of the last 8 quarters. Consensus will focus on order trends in consumer cylinders (propane, helium), pricing discipline, and margin expansion. A beat with FY2027 guidance above consensus would confirm the industrial recovery thesis.

KEY RISK

Thesis invalid on a close back below \$56.00 (the 20MA and breakout pivot), or if September 22 earnings disappoint due to weak residential construction or consumer spending. Pre-earnings setups carry binary risk; position size accordingly given the 20-day time horizon.

ANALYSIS

Strongest disconfirming evidence: RS vs SPY is only +2.2%, barely positive, indicating no relative strength leadership-this is a market-inline performer breaking out, not a leading stock. The 20-day earnings proximity is both an opportunity and a risk; if the report disappoints, the setup fails immediately. However, the tight base (2.34), proximity to 52W high (89.6%), and 2.3x volume suggest institutional accumulation ahead of a positive print. Conviction: Low-Medium (pre-earnings binary risk and weak RS downgrade conviction; this is a tactical trade, not a position setup).

Signal: Close above \$59.00 on vol >228% of 20d avg

Vol vs Avg: 2.28x

